

Do permits keep prices in check?

Testing a public claim about housing supply and prices in Malta against research, Eurostat and the census

THE CLAIM UNDER REVIEW

“Continuing to issue permits helps keep property prices in check.”

Johann Buttigieg, Planning Authority CEO, MaltaToday interview, 2 March 2025.
Answering a question on 91,000 dwellings approved in a decade.

VERDICT: LARGELY SUPPORTED

Right in direction; the size of the effect is unproven

TL;DR

In a March 2025 interview with MaltaToday, Planning Authority chief executive Johann Buttigieg was asked whether approving 91,000 dwellings in a decade was sustainable. He replied: **“Had we not issued these permits, Malta would face the same housing crises as other European countries. This is a supply-and-demand issue – continuing to issue permits helps keep property prices in check. Stopping them would drive prices up.”** We tested the economics against peer-reviewed research and the Malta data against Eurostat, the Authority’s own permit series and the 2021 census.

- 1

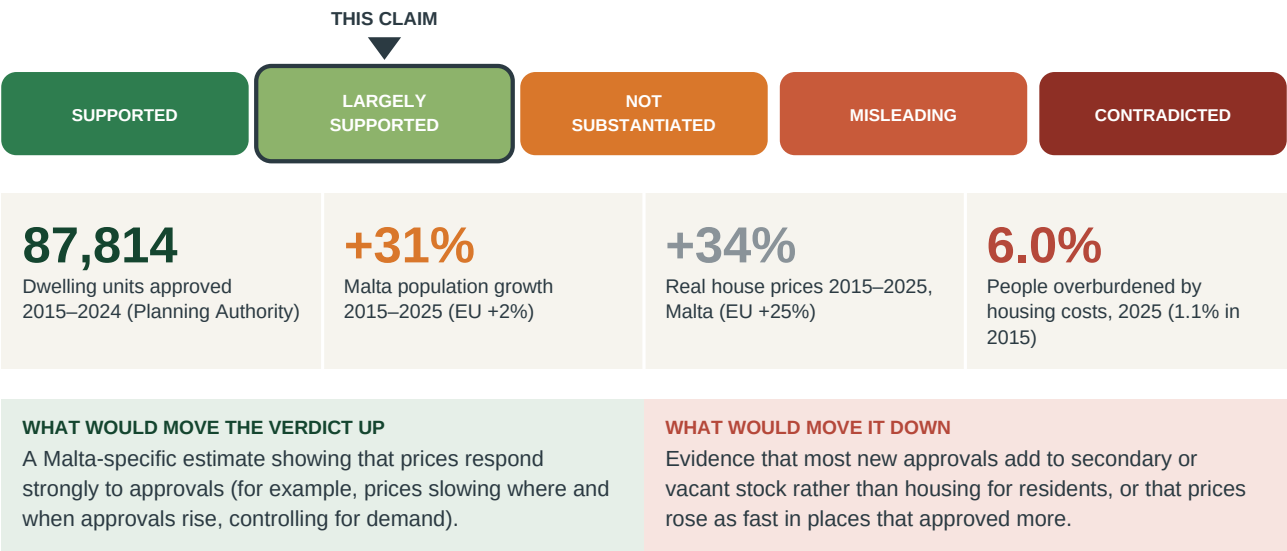
The mechanism is well supported. Peer-reviewed studies in the US and England find that where supply is held back, demand growth shows up as higher prices rather than more homes. Restricting permits would be expected to push prices up.
- 2

Malta absorbed an exceptional demand shock. Malta’s population grew 31% between 2015 and 2025; the EU’s grew 2%. Real house prices rose 34% in Malta and 25% in the EU. Overcrowding (4.7%) and housing-cost overburden (6.0%) remain below EU averages.
- 3

But prices were not held in check against Europe. Real prices still rose faster than the EU average, and the share of people overburdened by housing costs rose from 1.1% (2015) to 6.0% (2025) while the EU’s fell. Research also finds that extra supply alone does little for affordability.
- 4

The counterfactual cannot be proved. No study estimates what Maltese prices would have been with fewer permits. Over a quarter of dwellings are not anyone’s main home, so not every approval meets resident demand.
- 5

Verdict: largely supported (moderate confidence). As a statement about supply and demand, the claim agrees with the evidence. The caveats concern how large the effect is and the worsening affordability trend, which the statement does not mention.



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1

The claim and what we could verify

The claim is the chief executive’s answer in a MaltaToday interview by James Debono published on 2 March 2025 [1], which we read in full. The interviewer’s question gave the figure of 91,000 new dwellings approved in the past decade, including 21,000 on previously undeveloped land; the answer did not repeat it. The Authority’s own series gives 87,814 units approved in 2015–2024 [2], close to the interviewer’s figure.

What was said	Who	Access
“Had we not issued these permits, Malta would face the same housing crises as other European countries.”	Chief executive [1]	Read in full
“This is a supply-and-demand issue – continuing to issue permits helps keep property prices in check. Stopping them would drive prices up.”	Chief executive [1]	Read in full
91,000 new dwellings approved in the past decade	Interviewer [1]	Read; PA series gives 87,814 [2]

SCOPE NOTE

This check is about prices and the supply argument only. It does not assess the environmental cost of the permits, building design, or whether the land used was the right land: those are separate questions. In the same interview the chief executive said affordability “is a concern” and proposed smaller minimum flat sizes.

2

Method

Question. Does issuing permits help keep prices in check, and is Malta better placed than other European countries because of it?

Evidence. Peer-reviewed literature on housing supply and prices, found through Crossref and OpenAlex and verified by DOI [5–8]. Eurostat house prices (nominal and deflated), permits, population, housing-cost overburden and overcrowding for Malta and the EU [3]; the Planning Authority’s series of approved dwellings [2]; and the NSO 2021 census of dwellings [4]. All numbers are recomputed by *tools/cc-013-report/calc.py* from files in *data/cc-013/*.

Grades. Peer-reviewed observational studies with controls are grade B; official statistics are grade C. **Verdicts** follow the five-point scale in Appendix A.

3 What the research says

Economists agree that supply matters for prices; they disagree on how much. Glaeser, Gyourko and Saks found Manhattan prices far above construction costs and attributed the gap to land-use regulation; in constrained markets, rising demand led “not to more housing units but to higher prices” [5]. Hilber and Vermeulen, using 353 English planning authorities over 34 years, found that regulatory constraints make prices respond more strongly to rising incomes [6]. Saiz showed that supply elasticity depends on both geography and regulation [7]: both are tight in Malta.

On the other side, Anenberg and Kung modelled what happens when supply is added and found that rents respond only weakly, because location and amenities matter more than the number of units; marginal easing of constraints “alone” is unlikely to cut rent burdens much [8]. The research therefore supports the direction of the claim (more permits, less upward pressure) but not any particular size of effect.

4 What the Malta data show

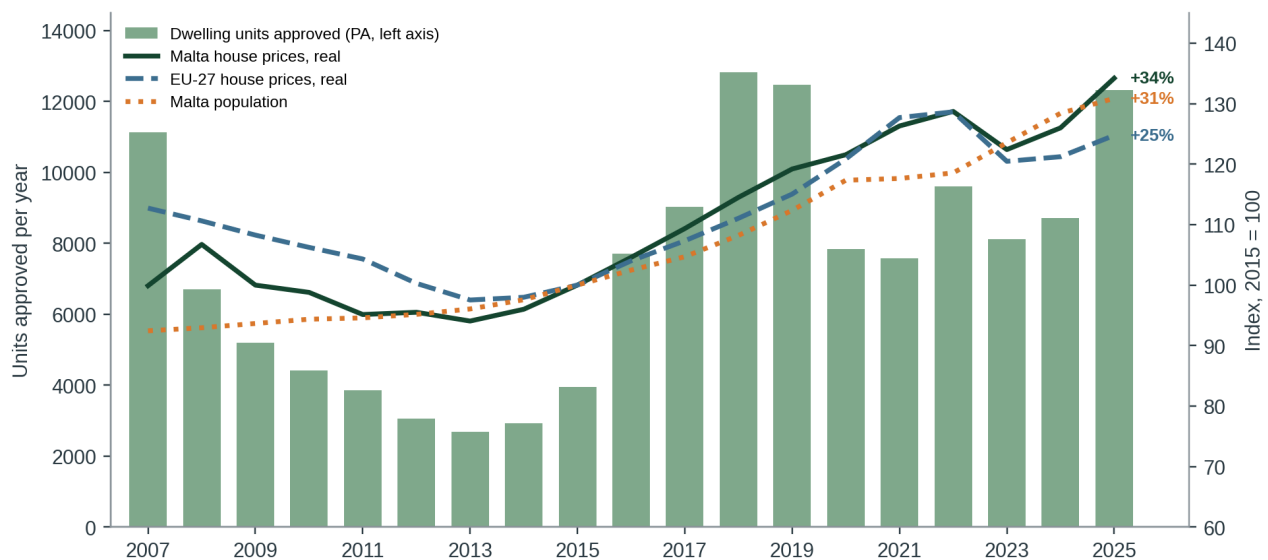


Figure 1. Dwelling units approved each year (bars) with real house prices in Malta and the EU and Malta's population, indexed to 2015. Approvals more than tripled after 2015 as population growth accelerated.

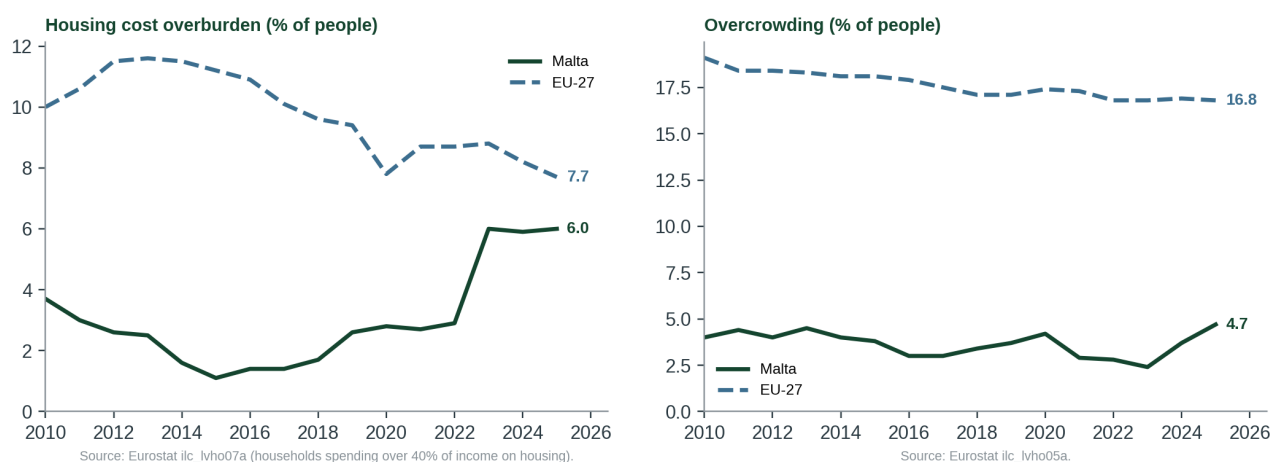


Figure 2. Housing-cost overburden and overcrowding, Malta and EU-27. Malta remains below the EU on both, but its overburden rate has risen while the EU's fell.

Indicator	Malta	EU-27	Source	Grade
Population change 2015–2025	+31%	+2%	Eurostat demo_gind	C
Real house prices 2015–2025	+34%	+25%	Eurostat tipsho10	C
Nominal house prices 2015–2024	+64%	+53%	Eurostat prc_hpi_a	C
Housing-cost overburden, 2015 → 2025	1.1% → 6.0%	11.2% → 7.7%	Eurostat ilc_lvho07a	C
Overcrowding, 2025	4.7%	16.8%	Eurostat ilc_lvho05a	C
Dwellings approved 2015–2024	87,814	–	Planning Authority [2]	C
Dwellings not a main residence, 2021	27.5% (31.8% in 2011)	–	NSO census [4]	C

All values in data/cc-013/checks.csv.

5 Where the evidence points different ways

Q1 Did permits keep prices in check?		IN DIRECTION, NOT IN LEVEL
EVIDENCE FOR THE CLAIM'S IMPRESSION Population grew 31% while real prices rose 34%, only 9 points more than the EU with almost no population growth. Supply on this scale is the most plausible reason prices did not rise much faster; the research supports this.	EVIDENCE AGAINST Malta's real prices still outpaced the EU, and grew fastest in the record-approval years (about 3.8% a year in years with 9,000+ approvals against 1.7% in other years). Approvals respond to demand, so this does not show permits raised prices, but it does show they did not hold prices down against Europe.	
WHY THEY DIFFER, AND WHAT IT MEANS HERE For this claim: "helps keep prices in check" is consistent with the evidence as a statement about direction; it cannot be read as a claim that prices are under control.		
Q2 Would Malta face the same crisis as other European countries?		PARTLY SUPPORTED NOW; GAP NARROWING
EVIDENCE FOR THE CLAIM'S IMPRESSION Malta's overcrowding (4.7%) is a quarter of the EU rate and its overburden rate (6.0%) is still below the EU's (7.7%).	EVIDENCE AGAINST Malta's overburden rate rose more than fivefold since 2015 while the EU's fell; the jump came in 2023 and may partly reflect a survey change we could not check.	
WHY THEY DIFFER, AND WHAT IT MEANS HERE For this claim: on today's indicators Malta is not in a worse position than the EU average, but the trend is towards it.		
Q3 Do approvals add homes for residents?		MOSTLY, NOT ENTIRELY
EVIDENCE FOR THE CLAIM'S IMPRESSION The share of dwellings that are not a main residence fell from 31.8% to 27.5% between 2011 and 2021 [4]: most new stock was occupied.	EVIDENCE AGAINST 81,613 dwellings (27.5%) were secondary, seasonal or vacant in 2021. Approvals are not completions, and small, investor-oriented units may not match households' needs.	
WHY THEY DIFFER, AND WHAT IT MEANS HERE For this claim: the supply argument holds best for approvals that become homes people live in.		

6 Testing the claim

Sub-claim	What the evidence shows	Rating
A. Price is a supply-and-demand issue; more permits help keep prices in check	Supported in direction by peer-reviewed studies [5–7]; effect size uncertain and possibly small for affordability [8].	LARGELY SUPPORTED
B. Stopping permits would drive prices up	Consistent with the same research; not tested for Malta directly.	LARGELY SUPPORTED
C. Without the permits Malta would face the same crises as other European countries	Counterfactual. Malta is below the EU on overcrowding and overburden today, but its prices grew faster and overburden is rising.	NOT SHOWN
D. 91,000 dwellings in a decade (interviewer)	87,814 approved 2015–2024 [2].	CLOSE

7 Verdict and requests for evidence

VERDICT

LARGELY SUPPORTED

Agrees with the research on supply and prices; the size of the effect is unproven and affordability is worsening.
Confidence: moderate.

Why. (1) The research consistently finds that restricting housing supply raises prices, so issuing permits plausibly restrains them. (2) Malta absorbed population growth fifteen times the EU’s with real price growth only moderately above the EU average, and remains below the EU on overcrowding and cost overburden. (3) The statement does not show how much permits restrain prices, and affordability has worsened since 2015. These caveats limit the claim but do not reverse it, which our scale calls *Largely supported*.

What this verdict does not say. It does not say that more permits are good overall, that the land, design or environmental costs are justified, or that prices are affordable. It says that, as an economic statement about supply and prices, the claim agrees with the evidence.

Evidence we are asking for

- ☐ Completions (not only approvals) by year and type, and how many new units become main residences.
- ☐ Any Malta-specific estimate of how prices respond to approvals, controlling for demand.
- ☐ The source and definition of the 91,000 figure used in the interview question.

8 Limitations

- The research cited is from the US and England; no peer-reviewed estimate of supply elasticity for Malta was found.
- Approvals are not completions; we did not find a completions series.
- Malta’s overburden rate jumps between 2022 and 2023; a break in the survey was not checked.
- National averages hide differences between localities, tenures and income groups.
- Peer-reviewed papers were read as abstracts; findings used are those stated in the abstracts.

References

- [1] Debono J. (2 Mar 2025). Johann Buttigieg: 'Issuing permits helps keep property prices in check'. *MaltaToday*, interview. https://www.maltatoday.com.mt/news/interview/133858/johann_buttigieg_issuing_permits_helps_keep_property_prices_in_check_
- [2] Planning Authority (2026). Approved Dwelling Units for 2007–2025. <https://www.pa.org.mt/file.aspx?f=37489>
- [3] Eurostat. prc_hpi_a, tipsho10, sts_cobp_a, demo_gind, ilc_lvho07a, ilc_lvho05a; retrieved 3 Oct 2026. <https://ec.europa.eu/eurostat/databrowser/>
- [4] National Statistics Office (2023). Census of Population and Housing 2021, Final Report vol. 2: Dwelling Characteristics. <https://nso.gov.mt/wp-content/uploads/Census-2021-Volume-2.pdf>
- [5] Glaeser E.L., Gyourko J., Saks R. (2005). Why is Manhattan so expensive? Regulation and the rise in housing prices. *Journal of Law and Economics* 48(2):331–369. doi:10.1086/429979. (Abstract read.) <https://doi.org/10.1086/429979>
- [6] Hilber C.A.L., Vermeulen W. (2016). The impact of supply constraints on house prices in England. *Economic Journal* 126(591):358–405. doi:10.1111/ecoj.12213. (Abstract read.) <https://doi.org/10.1111/ecoj.12213>
- [7] Saiz A. (2010). The geographic determinants of housing supply. *Quarterly Journal of Economics* 125(3):1253–1296. doi:10.1162/qjec.2010.125.3.1253. (Abstract read.) <https://doi.org/10.1162/qjec.2010.125.3.1253>
- [8] Anenberg E., Kung E. (2020). Can more housing supply solve the affordability crisis? Evidence from a neighborhood choice model. *Regional Science and Urban Economics* 80:103363. doi:10.1016/j.regsciurbeco.2018.04.012. (Abstract read, working-paper version.) <https://doi.org/10.1016/j.regsciurbeco.2018.04.012>
- [9] Miżien. Data and calculations: data/cc-013/; tools/cc-013-report/calc.py.

Appendix A: series standards and verdict scale

Every investigation in this series follows the same rules so that verdicts are comparable and challengeable.

Verdict	Meaning
SUPPORTED	Evidence consistently backs the claim as stated.
LARGELY SUPPORTED	Backed by the evidence, with minor caveats that do not change the substance.
NOT SUBSTANTIATED	Stated more strongly than the evidence offered or available allows. May be true in some conditions but has not been shown.
MISLEADING	Omits material facts so that the overall impression is inaccurate, even if individual statements are defensible.
CONTRADICTED	The available evidence points against the claim.

Confidence

High: multiple independent lines of evidence agree. **Moderate:** evidence is relevant but incomplete or indirect. **Low:** evidence is thin, second-hand or conflicting.

Evidence grades

A experiment · B observational study with a control or gradient · C review, guidance or official statistics · D assertion or anecdote. ♦ marks a source known only second-hand.

Standards

- **Quote the speaker, not the headline**, with outlet and date, and link the original where possible.
- **Separate the claim from the evidence offered for it**, and say who made which statement.
- **Grade the evidence** and show differing views side by side where the evidence is unsettled.
- **State what we could not access or verify**, and what would change the verdict either way.
- **Ask for the missing evidence** in specific, answerable requests.
- **Offer a right of reply** before wider circulation and append responses.
- **Correct errors openly** with a version number and change log.
- **Whistle-blow only on evidence:** a verdict of *Misleading* or *Contradicted* requires documents or data that can be shown, not inference.
- **Check every side.** Government, opposition, NGOs and developers are held to the same standard.

Appendix B: revision log

Version	Date	Change
1.0	3 Oct 2026	First issue. Right of reply to the Planning Authority not yet sent.